LIVE DATA

VaR Risk Report

Balanced Book

Total Value: $10.00M Positions: 7 Confidence: 99% Horizon: 1d Generated: 2026-06-17

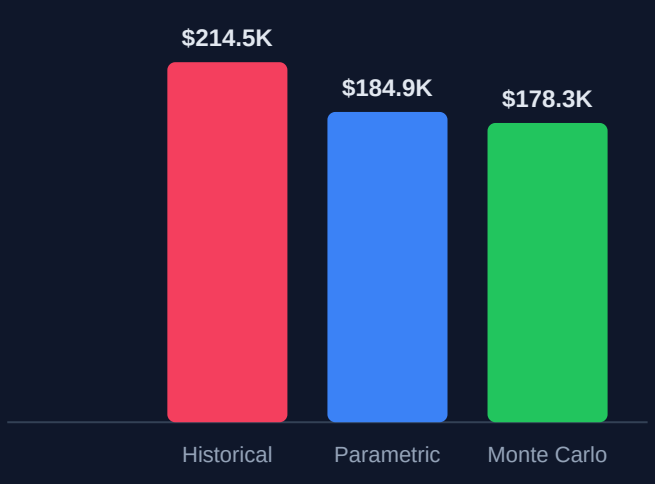
VALUE AT RISK	EXPECTED SHORTFALL	REGULATORY CAPITAL	WORST STRESS
$214.5K	$302.7K	$1.15M	-$2.03M
2.15% of book	ES/VaR 1.41x	11.5% of book	Lehman Collapse (Sep 2008)

Portfolio Holdings

SYMBOL	NAME	WEIGHT	MARKET VALUE
EURUSD=X	EUR/USD	24.7%	$2.47M
TLT	iShares 20+ Year Treasury Bond ETF	20.9%	$2.09M
AAPL	Apple Inc.	19.1%	$1.91M
BTC-USD	Bitcoin USD	15.6%	$1.56M
XOM	Exxon Mobil Corporation	13.6%	$1.36M
SPY	State Street SPDR S&P 500 ETF Trust	3.2%	$319.0K
GLD	SPDR Gold Shares	2.9%	$292.2K

VaR Methodology Comparison

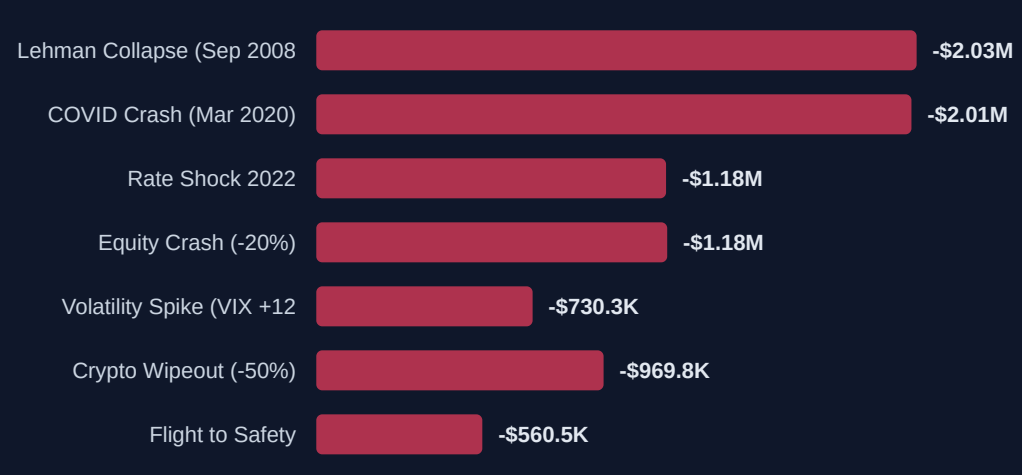
99% confidence · 1d horizon · 3 methods selected



METHOD	VAR	ES	ES/VAR	WORST
Historical	$214.5K	$302.7K	1.41x	-$513.3K
Parametric	$184.9K	$216.8K	1.17x	-$361.3K
Monte Carlo	$178.3K	$208.8K	1.17x	-$319.0K

Stress Testing

7/7 scenarios breach the 99% VaR



Risk Decomposition

Component VaR by asset — how each position contributes to total risk

ASSET	COMPONENT VAR	SHARE	INCREMENTAL	STANDALONE
BTC-USD	$84.1K	46.5%	$43.3K	$114.7K
AAPL	$58.2K	32.2%	$30.7K	$84.0K
XOM	$20.0K	11.1%	-$14.5K	$51.1K
TLT	$7.5K	4.2%	-$35.1K	$40.5K
SPY	$5.8K	3.2%	-$1.4K	$8.1K
EURUSD=X	$2.7K	1.5%	-$102.5K	$27.5K
GLD	$2.3K	1.3%	-$14.3K	$10.1K

Backtesting

250-day rolling window · Kupiec POF · Christoffersen · Basel traffic light

EXCEPTIONS	BASEL ZONE	KUPIEC P-VALUE	CC P-VALUE
1	GREEN	0.4625	0.7594
exp 1.9	multiplier 3x	pass	pass

AI Interpretation & Analysis

LLM-powered portfolio assessment

Strengths

- Diversified asset allocation across currencies (EURUSD), bonds (TLT), equities (AAPL), commodities (XOM), and cryptocurrencies (BTC-USD)
- Strong backtest performance with only 1 exception in the green zone, indicating model reliability
- Multiple VaR methodologies (parametric, historical, Monte Carlo, filtered, EVT) provide comprehensive risk assessment

Risk Concerns

- Significant stress test breaches across all scenarios, indicating vulnerability to extreme market conditions
- High concentration risk with top 5 positions representing over 93% of portfolio value
- Substantial potential losses in stress tests (up to $2M+) suggesting inadequate risk management for tail events

Recommendations

- Reduce concentration risk by diversifying beyond the top 5 positions or rebalancing weights
- Implement dynamic hedging strategies for stress scenarios, particularly for the crypto position
- Increase liquidity buffers or consider stop-loss mechanisms to mitigate potential large drawdowns
- Review and potentially adjust position sizing based on stress test results, especially for BTC-USD

Executive Summary

The Balanced Book portfolio demonstrates strong model reliability through backtesting but shows significant vulnerabilities to extreme market conditions. Immediate action is needed to reduce concentration risk and implement stronger risk controls to address substantial potential losses identified in stress scenarios.